

## PRODUCT LIABILITY INSURANCE POLICY

**INSURED: XYZ**

**POLICY NUMBER: TBA**

**PERIOD OF**

**INSURANCE: FROM: XXX**

**TO: XXX**

### IMPORTANT

This Policy and its Conditions should be examined, and if incorrect returned at once for alteration.

Every change affecting the risks Insured by this Policy must be immediately advised to the Company. Failure to do this might result in the insurance ceasing to be in effect. The Policy is not transferable from the insured to any other person until the Company's written consent has been obtained.

In the event of any loss or damage notice should be given **IMMEDIATELY** to:

**ZENITH GENERAL INSURANCE COMPANY LTD**

**13TH & 14TH FLOOR, CIVIC TOWERS,**

**OZUMBA MBADIWE, VICTORIA ISLAND,**

**LAGOS.**

**Followed by such further steps as are required by the Conditions of this Policy.**

**PLEASE NOTE:**

**IF THE INSURED HOWEVER INTENDS TO WITHDRAW / CANCEL THE WITHIN POLICY.**

**THE INSURED HAS A COOLING OFF PERIOD OF 14 DAYS AFTER THE DELIVERY OF THE POLICY DOCUMENT OR ISSUANCE OF A NOTICE OF COVER WHICHEVER IS EARLIER.**

**IF THE INSURANCE PURCHASER WANT TO WITHDRAW WITHIN THE COOLING OFF PERIOD, HE /SHE HAS THE RIGHT TO CANCEL THE INSURANCE POLICY AND OBTAIN A FULL REFUND OF THE INSURANCE PREMIUM LESS ADMINISTRATIVE FEES.**

## **PRODUCT LIABILITY INSURANCE**

WHEREAS the Insured described in the schedule hereto has by a proposal and declaration which shall be the basis of this contract and is deemed to be incorporated herein applied to the **ZENITH GENERAL INSURANCE COMPANY LIMITED** (hereinafter called the Company) and has paid the premium as consideration for the insurance hereinafter contained.

**IT IS AGREED THAT subject to the Terms, Exceptions and Conditions Contained herein or endorsed hereon the Company will during the Period of Insurance stated in the said Schedule indemnify the Insured against their legal liability arising from:-**

- (a) Accidental bodily injury (including death or disease) to any person;
- (b) Accidental loss or damage to property of third parties resulting from any defect in or the harmful nature of goods (or the containers thereof) sold or supplied by the Insured in connection with its business.

The liability of the Company in respect of or arising out of one occurrence or in respect of or arising out of all occurrences of a series consequent on or attributable to one source or original cause shall not exceed the amount specified in the schedule as the limit of indemnity.

In respect of any claim for damages to which the indemnity expressed in this policy applies, the Company will also indemnify the Insured against:

- a. all legal costs recoverable by any claimant from the Insured and
- b. all costs and expenses incurred with the written consent of the Company.

PROVIDED, that under this Policy:

(a) The limit of indemnity:

1. in respect of any one accident or series of accident arising out of one event shall not exceed N5,000,000.00
2. any one period of insurance shall not exceed N35,000,000.00

(b) The Company will not indemnify the Insured in respect of:

1. The cost of repair, alteration or replacement of or the return of all or part of the price for any goods sold or supplied by the Insured.
2. liability incurred by the Insured through goods manufactured installed in or forming part of any aircraft or ship or ocean/river bound vessel
3. Liability arising from any directives or advice given by the Insured concerning the use or

storage of any goods or containers supplied by the Insured.

4. Liability for physical or actual loss of or damage to any goods or containers supplied by the Insured.
5. liability incurred by the Insured as a result of the withdrawal or recall of goods or containers whether voluntarily or otherwise;
6. any liability arising from goods obtained by the Insured on terms which prevents the Insured from exercising its rights of recovery under the ordinary process of law against the supplier or any party.
7. Cost of repairing, rectifying or replacing defective products.
8. Any risk involving crop spraying, insecticide and fertilizers.
9. Any product related to pharmaceuticals, drugs, medicine, animal food stuffs, cosmetics, hormone treatment and chemicals

**PROVIDED also that:**

(a) the Insured shall take all reasonable precautions to comply with all statutory obligations and regulations imposed by any authority and to prevent the sale or supply of goods or container which are not

1. in good condition
2. free from defect
3. free from contamination
4. fit for the purpose required

It is further declared and understood that the premium charged for this policy is based on the limit anyone period of insurance being the projected total value of commodities or goods to be sold, supplied, serviced or processed by or on behalf of the Insured. The Insured agrees to declare to the Company within 30 days of the expiry of each period of insurance the actual turnover figure and the amount so declared shall be adjusted based on the applicable the rate. If the resultant premium shall be greater than the provisional premium the Insured shall pay the difference and if it be less, a refund shall be allowed to the Insured subject to a maximum return of 25% of the provisional premium.

The liability of the Company in respect of or arising out of one occurrence or in respect of or arising out of all occurrences of a series of incident consequent on or attributable to one source or original cause shall not exceed the amount specified in the schedule as the limit of indemnity.

In the event of the death of the Insured the Company will in respect of the liability incurred indemnify the Insured's personal representatives in the terms of and subject to the limitations of this Policy provided that such personal representatives shall as though they were the Insured observe, fulfil and be subject to the terms, exceptions and conditions of the Policy so far as they can apply.

## EXCEPTIONS

This Policy does not cover:

1. Liability for death, bodily injury to or illness contracted by any person employed under a contract of service or apprenticeship with the insured if such death, illness or bodily injury arises out of or in the course of such employment.

### **2. Liability for loss of or damage to:**

1. property owned by the Insured
2. property which is leased, let, rented, hired or lent to the Insured or which is in any other way the subject of a bailment to the Insured.
3. Any underground pipes cables mains or sewers or any claim arising in consequence of such loss or damage.
3. Bodily injury, illness, loss or damage caused or arising out of the ownership or possession of or use or under the control of the Insured of animals, mechanically propelled vehicles, aircrafts, ships, boats or craft of any kind.
4. Death or bodily injury to third parties or damage to property caused directly or indirectly by any sub-contractor of the Insured or by any employee of such sub-contractor.
5. Death or bodily injury to third parties or damage to property arising outside the geographical area stated in the policy.
6. Damage to property on which the Insured, directors, employees, servants or agents are or have been operating.
7. Death, bodily injury or damage to property due to defective drains, sewers or sanitary arrangements or pollution.

### **8. Any liability arising directly or indirectly through**

1. Hoists cranes lifts elevators or steam boilers
2. Fire, explosion and flood typhoon, hurricane, volcanic eruption, earthquake, subterranean fire or other convulsion of nature.
3. Any advice or remedial or other treatment given or administered by the Insured, directors, servants, employees or representatives.
4. Damage to any building, structure or land caused by vibration or by the withdrawal or weakening of support
5. Any contract of indemnity which imposes upon the Insured liability which the Insured would not otherwise have been under
6. War, invasion, Act of foreign Enemy, Hostilities (whether War be declared or not) Civil War,

Rebellion, Revolution, Insurrection or Military or Usurped Power.

7. Ionizing radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel solely for the purpose of this exclusion combustion shall include any self-sustaining process of nuclear fission
8. The indemnity or compensation provided by this policy shall not apply to nor include any accident loss destruction damage or legal liability directly or indirectly caused by or contributed to by or arising from nuclear weapons material

## CONDITIONS

1. This Policy and Schedule shall be read together as one contract and any word or expression to which a specific meaning has been attached in any part thereof shall bear such meaning wherever it may appear.

2. The Insured shall at all times by personal or other competent supervision take all reasonable precautions to prevent accidents or disease and shall make all reasonable endeavor to comply with all statutory obligations and regulations imposed by any Authority to employ only efficient personnel and to provide efficient ways, works, vehicles , machinery guards, and shall keep the same and all buildings in a proper state of repair and if any defect shall arise shall cause such defect to be made good and shall in the meantime cause such additional precautions to be taken as the circumstances require.

3. Every notice or communication to be given under this Policy shall be lodged in writing with the Company.

4. The Insured or his legal representatives shall give notice to the Company as soon as possible after the occurrence of any accident and or loss and/or damage with full particulars thereof. Every letter, claim, writ, summons or process shall be notified or forwarded to the Company immediately on receipt. Notice shall also be given in writing to the Company immediately the Insured or his legal personal representatives shall have knowledge of any impending prosecution or inquest in connection with any accident for which there may be liability under this Policy. So far as reasonably practicable no alteration or repair shall without the consent of the Company be made to any buildings, dwellings, works, machinery, fences or plant after any accident which have occurred in connection therewith until the Company shall have had the opportunity of examining the same.

5. No admission, offer, promise, payment or indemnity shall be made or given by or on behalf of the Insured without the written consent of the Company which shall be entitled if it so desires to take over and conduct in the name of the Insured the defence or settlement of any claim or to prosecute in the name of the Insured for its own benefit any claim for indemnity or damages or otherwise and shall have full discretion in the conduct of any proceedings or in the settlement of any claim and the Insured shall give all such information and assistance as the Company may require.

6. If at the time of the occurrence of any accident there shall be any other Insurance or Insurances subsisting in respect of the same, the Company shall not be liable to pay nor contribute more than a ratable proportion of any sum or sums payable in respect of such accident for compensation, litigation expenses or otherwise.

7. The Company may in the case of any accident as within defined pay to the Insured the maximum sum payable as compensation hereunder (but deducting therefrom in such case any sum or sums already paid as compensation in respect thereof) or any lesser sum for which the claim or claims arising from such accident can be settled and the Company shall therefore be under no further

liability in respect of any such accident except for the payment of costs and expenses (whether recovered from the Insured by any claimant or incurred with the written consent of the Company) incurred prior to the date of such payment of such maximum sum or such lesser sum as the case may be and for which the Company may be responsible thereunder.

8. The Company shall not be bound to send any notice of the Renewal Premium becoming due, nor to renew this Policy. The Company shall be at liberty at any time to cancel this policy by giving **30 days notice** in writing to the Insured by Registered Letter posted to the address of the Insured as last known to the Company to determine and cancel this Policy as from the date of the expiration of such notice in which event the Company shall on demand return to the Insured a proportionate part of the premium corresponding to the unexpired term of the Policy.

9. All differences arising out of this Policy shall be referred to the decision of an Arbitrator to be appointed in writing by the parties in difference or if they cannot agree upon a single Arbitrator to the decision of two Arbitrators one to be appointed in writing by each of the parties within one calendar month after having been required in writing so to do by either of the parties, or in case the Arbitrators do not agree of an Umpire appointed in writing by the Arbitrators before entering upon the reference. The Umpire shall sit with the Arbitrators and preside at their meetings, and the making of an Award shall be a condition precedent to any right of action against the Company. If the Company shall disclaim liability to the Insured or his personal representatives for any claim hereunder and such claim shall not within 12 calendar months from the date of such disclaimer have been referred to Arbitration under the provisions herein contained then the claim shall not for all purposes be deemed to have been abandoned and shall thereafter be recoverable hereunder.

10. The due observance and fulfillment of the terms provisions conditions and endorsements of this Policy in so far as they relate to anything to be done or complied with by the Insured and the truth of the statements and answers in the Proposal shall be conditions precedent to any liability of the Company to make any payment under this Policy.

#### **POLICY SCHEDULE**

POLICY NO:       **TBA**

THE COMPANY:       **ZENITH GENERAL INSURANCE COMPANY LTD**

INSURED:               **XYZ**

ADDRESS:               **XXX**

OCCUPATION:       **XXX**

PERIOD OF INSURANCE:   **FROM: XXX – XXX**

## LIMIT OF LIABILITY

Any one Accident or series of Accident: N XXXX

From one occurrence

Aggregate Limit any one Period of Insurance - N XXXX

/ Annual Turnover:

Renewal Date: 05/02/2025

ANNUAL PREMIUM: N XXX

Prepared by: \_\_\_\_\_

Signed this 7th day of January, 2024.

For and on behalf of Zenith General Insurance Company Limited

\_\_\_\_\_

Authorized Signature

MEMORANDA ATTACHING TO AND FORMING PART OF PRODUCT LIABILITY INSURANCE  
POLICY NO. XYZ IN THE NAME OF TBA

### MEMO 1: WORK AWAY CLAUSE

This policy, subject to the terms and limit of indemnity, is extended to cover the insured's legal liability as within defined in respect of accidents arising out of the engagement of actual works undertaken by the Insured or the person in the service of the Insured in course of the business within the territorial limit out away from the defined premises.

### MEMO 2: EXCESS CLAUSE

It is hereby declared and agreed that the insured is responsible for first NXXX or 10% (whichever is higher) of each and every claim under this policy.

### MEMO 3: JURISDICTION CLAUSE

Notwithstanding anything contained herein to the contrary it is agreed that the indemnity provided herein shall not apply to:

- Compensation for damages in respect of judgments delivered or obtained in the first instance in a court of competent jurisdiction outside the geographical area.
- Costs and expenses of all litigation recovered by any claimant from the insured which are not incurred in and recoverable in the geographical area.

#### **MEMO 4: PAYMENT OF PREMIUM WARRANTY**

Notwithstanding anything contained to the contrary, it is hereby declared and agreed that there shall be no cover in respect of any insured risk under this policy unless the premium is paid in advance.

#### **MEMO 5: AIRCRAFT AND WATERCRAFT CLAUSE**

Notwithstanding anything contained herein to the contrary it is agreed that the indemnity provided herein shall not apply to loss caused by or arising directly or indirectly out of or in connection with:

1. The ownership, possession, use, existence, working, navigation, operation, repair, maintenance, servicing, construction or installation by the insured or on his behalf of any Aircraft; or
2. The ownership, possession, use, existence, working, navigation, operation, repair, maintenance, servicing, construction or installation by the insured or on his behalf of any Watercraft.

#### **MEMO 6: ADVERTISING LIABILITY EXCLUSION CLAUSE**

Notwithstanding anything contained herein to the contrary it is agreed that the indemnity provided herein shall not apply to advertising Injury:

1. Resulting from statements made at the insured's direction with knowledge that such statements are false;
2. Resulting from incorrect description of Products or services; or
3. Incurred by any insured whose principal occupation or business is advertising, broadcasting, publishing or telecasting.

#### **MEMO 7: DEFAMATION EXCLUSION CLAUSE**

Notwithstanding anything contained herein to the contrary it is agreed that the indemnity provided herein shall not apply to losses caused by or arising directly or indirectly out of or in connection with publication of a libel, utterance of a slander or defamation:

1. First made prior to the Period of Insurance;
2. Made by the insured or with the insured authority, with knowledge of its falsity or defamatory character; or
3. In any way related to advertising, broadcasting, publishing or telecasting activities conducted by the insured or on behalf, including but not limit

#### **MEMO 8: POLITICAL RISKS EXCLUSION CLAUSE**

This policy does not cover any loss or damage occasioned directly or indirectly by, or through, or in consequence of any of the following occurrences, namely:



1. War, invasion, act of foreign enemy, hostilities or warlike operations (whether war be declared or not, civil war)
2. Abandonment and/or permanent or temporary dispossession resulting from detention, confiscation, seizure, restraint, commandeering, nationalization, appropriation, destruction or requisition by order of any government de jure or de facto or by any public authority.
3. Mutiny, civil commotion, military rising, insurrection, rebellion, revolution, military or usurped power, martial law or state of siege or any of the events or causes which determine the proclamation or maintenance of martial law or state of siege.
4. Any riot, strike or public disorder or any act or activity, which is calculated or directed to bring about public disorder or any act or activity, which is calculated or directed to bring about public disorder unless riots and strike extension is endorsed on the policy and then only to the extent stated.
5. Any act which is calculated or directed to bring about loss or damage in order to further any political aim, objective or cause, or to bring about any social or economic change or in protest against any state or government, or any political or local authority, or for the purpose of imposing fear in the public or any section thereof.
6. The act of any lawfully established authority in controlling, preventing, suppressing or in any other way dealing with any occurrence referred to in items 4 and 5 above.
7. Plundering, looting, war, pillage in connection with riots and/or civil commotion.

#### **MEMO 9: TERRORISM EXCLUSION CLAUSE**

The insurance provided under this Agreement shall not apply to the following:

Any loss, cost or expense arising out of or related to, either directly or indirectly, any "Terrorist Activity", as defined herein. This exclusion applies regardless of any other cause or event that in any way contributes concurrently or in any sequence to the loss, cost or expense. For the purpose of this exclusion,

A. "Terrorist Activity" shall mean any deliberate, unlawful act that:

- Is declared by any authorized government official to be or to involve terrorism, terrorist activity or acts of terrorism; or
- Includes, involves, or is associated with the use or threatened use of force, violence or harm against any person, tangible or intangible property, the environment, or any natural resources,

where the act or threatened act is intended, in whole or part, to

- Promote or further any political, ideology, philosophical, racial ethnic, social or religious cause or objective of the perpetrator or any organization, association or group affiliated with the perpetrator;

B. Influence, disrupt or interfere with any government related operations, activities or policies;

C. Intimidate, coerce or frighten the general public or any segment of the general public; or

D. Disrupt or interfere with a national economy or any segment of the national economy; or

E. Includes, involves, or is associated with, in whole or in part, of the following activities, or the threat thereof:

- Hijacking or sabotage of any form of transportation or conveyance, including but not limited to spacecraft, satellite, aircraft, train, vessel, or motor vehicle;
- Hostage taking or kidnapping
- The use of any biological, chemical, radioactive, or nuclear agent, material, device or weapon;
- The use of bomb, incendiary device, explosive or firearm;
- The interference with or disruption of basic public or commercial services or system: electricity, natural gas, power, postal, communications, telecommunications, information, public transportation, water, fuel, sewer or waste disposal;
- The injuring or assassination of any elected or appointed government official or any government employee;
- The seizure, blockage, interference with, disruption of, or damage to any government buildings, institutes, functions events tangible or intangible property or other assets; or
- The seizure, blockage, interference with, disruptions of, or damage to tunnels, roads, street, highways, or other places of public transportation or conveyance

F. Any of the activities listed in section E(3) above shall be above shall be Terrorist Activity except where the insured can conclusively demonstrate to the insurer that the foregoing activities or threats thereof were motivated solely by personal objectives of the perpetrator that are unrelated, in whole or in part, to any intention to;

- Promote or further any political, ideology, philosophical, racial, ethnic, social religious cause or

objective of the perpetrator or any organization, association or group affiliated with the perpetration;

- Influence, disrupt or interfere with any government related operations, activities or policies;
- Intimidate, coerce or frighten the general public or any segment of the general public; or
- Disrupt or interfere with a national economy or any segment of a national economy.

## **MEMO 10: AGGREGATE LIMIT CLAUSE**

**Notwithstanding anything contained herein to the contrary, it is hereby declared and agreed that the liability of the company under this policy for all compensation for any claims or any number of claims in any one period of insurance shall not exceed limits stated on the policy.**

## **MEMO 11: AIRCRAFT PRODUCTS & GROUNDING EXCLUSION**

In consideration of the premium charged, it is hereby understood and agreed that such coverage as is afforded by this policy shall not apply to any liability arising out of "AIRCRAFT" PRODUCTS AND COMPLETED OPERATIONS" or reliance upon any representation or warranty made with respect thereto, nor to any liability arising out of the grounding of any aircraft.

## **MEMO 12: AIRCRAFT PRODUCTS AND COMPLETED OPERATIONS MEANS**

(i) Aircraft (including missiles or space craft and ground support or control equipment used therewith) and any other goods or products manufactured, sold, handled or distributed by the insured or any service provided or recommended by the insured or by others trading under his name for use in the manufacture repair, operation, maintenance or use of any aircraft, and

(ii) Any articles, furnished by the insured and installed in aircraft or used in connection with aircraft or for spare parts for aircraft, including ground

Handling tools and equipment, and also means training aids, instructions, manuals blueprints, engineering or other data, Engineering or other advice, and labour relating to such aircraft or articles.

GROUNDING shall mean the withdrawal of one or one or more aircraft from the flight operations or the imposition of Speed, passenger or load restrictions on such aircraft, by reason of the existence of or alleged or suspected existence of Or alleged or suspected existence of any defect, fault or condition in such aircraft or any part thereof sold, handled or distributed by the insured or manufactured, assembled or processed by any other person or organization according to specifications, plans, suggestions, orders, or drawings of the insured with tools, machinery or other equipment furnished to such persons or organizations by the insured, whether such aircraft so withdrawn are owned or operated by the same or different persons, organizations or corporations.

A grounding shall be deemed to commence on con the date of an accident or occurrence which discloses such condition, or on the date and aircraft is first withdrawn from service on account of

such condition, whichever occurs first.

**MEMO 13: MULTIPLE CLAIMS PENALTY CONDITION**

It is hereby declared and agreed that the insured shall be penalized for multiple claims if the insured has claimed more than two times within the same policy period (twelve calendar month). Every other claim(s) (i.e from the third claim) will attract 10% penalty for multiple claims.

**MEMO 14: INFECTIOUS DISEASE EPIDEMIC/PANDEMIC EXCLUSION CLAUSE**

This insurance excludes any loss, damage, cost, or expense directly or indirectly arising out of, contributed to by, or resulting from any infectious epidemic/pandemic.

To this clause Infectious Epidemics/Pandemics shall mean the sudden, unexpected, large-scale manifestation of an initially locally contained, infectious disease relating to people which spreads very rapidly and with great virulence.

**NOTHING HEREIN CONTAINED SHALL BE HELD TO VARY, ALTER, WAIVE OR CHANGE THE TERMS LIMITS, OR CONDITION OF THE POLICY, EXCEPT AS HEREINABOVE SET FORTH.**